

The invisible hand



In the 18th century, Scottish economist and philosopher Adam Smith famously wrote: 'It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from their regard to their own interest.' If I am hungry, the butcher supplies me with meat and in buying it from him I provide him with his living.

The 'invisible hand' was Smith's metaphor for the way in which free markets spontaneously satisfy people's wants. No coordinating organization orders the butcher to supply meat at a particular spot, or tells the hungry person to turn up there for his dinner. Supply is made equal to demand by prices, so that everyone who wants to buy something at that price can obtain it. A fundamental tenet of much of economics is therefore that the result of people acting purely in their own self-interest will not be chaos, but rather social good. Much deep economic thought

is concerned with the way in which the invisible hand works, and the conditions in which it might fail.